

HIGH COURT · JUDGMENT DIGEST

Ashok Kumar & Ors. v. State of U.P. & Ors.

W.P. Nos. 21073, 22678, 22674, 22373 &c. of 2008 | High Court of Judicature at Allahabad | Decided 18 July 2008 | 2008 SCC OnLine All 696 : (2008) 5 All LJ 383 (DB)

COURT	High Court of Judicature at Allahabad (Division Bench)
CORAM	Hon'ble Anjani Kumar, J. & Hon'ble Sudhir Agarwal, J. (judgment delivered by Sudhir Agarwal, J.)
DATE OF JUDGMENT	18 July 2008
NATURE OF PROCEEDING	Batch of writ petitions under Article 226 of the Constitution of India, challenging (i) assessment orders under Section 126 of the Electricity Act, 2003, (ii) demand notices under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, and (iii) the State Government notification dated 27-6-2006 notifying 'assessing officers' under Section 126 as ultra vires and illegal
PARTIES	Ashok Kumar and others (oil-expeller operators at various locations in District Agra) v. State of U.P., Dakshinanchal Vidyut Vitran Nigam Limited (Agra Discom / DVVNL), Executive Engineers of DVVNL, and other respondents
PROVISIONS	Sections 2(31), 2(39), 2(47), 4, 14, 126, 131 of the Electricity Act, 2003; Section 2(b), 2(c), 3, 5 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958; Clause 6.8 of the U.P. Electricity Supply Code, 2005; Sections 617 of the Companies Act, 1956; Article 226, Constitution of India
RESULT	Writ petitions partly allowed. The impugned provisional and final assessment notices issued under Section 126 of the Electricity Act, 2003, and the demand notices issued under Section 3 of the 1958 Act, are hereby quashed. The respondents are at liberty to take fresh steps in accordance with law and the observations made by the Court. Petitioners awarded costs of Rs. 2,000 per writ petition.

POINT FOR DETERMINATION

1. Whether the State Government notification dated 27-6-2006 notifying Executive Engineers of DVVNL as 'assessing officers' under Section 126 of the Electricity Act, 2003 is valid, having regard to whether DVVNL can be said to be a 'licensee' under the Act, 2003?
2. Whether DVVNL (Agra Discom) qualifies as a 'Government Electrical Undertaking' as defined under Section 2(c) of the 1958 Act, or whether it requires separate notification to invoke the recovery provisions of the 1958 Act?
3. Whether the Executive Engineer of DVVNL, without separate notification under Section 2(b) of the 1958 Act, can be a 'prescribed authority' competent to issue demand notices under Section 3 of the 1958 Act?

4. Whether a demand notice issued under Section 3 of the 1958 Act by a Sub-Divisional Officer purporting to act 'on behalf of' the Executive Engineer (the prescribed authority) is valid when the statute prescribes that the notice must be signed by the prescribed authority himself?
5. Whether allegations of unauthorised use of electricity were properly and specifically communicated to the petitioners, and whether they received adequate opportunity to respond before provisional assessment?
6. Whether the provisional assessment notices comply with the procedure prescribed under Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005, and whether principles of natural justice have been observed?

FACTS

The petitioners are oil-expeller operators in District Agra holding three-phase industrial electricity connections for contracted loads between 21 and 100 horse power supplied by DVVNL. Between 15-1-2008 and 17-1-2008, the enforcement squad of DVVNL conducted inspections at petitioners' premises and obtained Meter Reading Instrument (MRI) reports from meters. On the basis of these MRI reports, the Executive Engineer, DVVNL, issued provisional assessment notices on 18-3-2008 to 19-3-2008, alleging irregular user or theft of electricity and imposing assessments ranging from Rs. 1,85,011/- to Rs. 4,01,486/-.

Subsequent to the provisional assessment notices, demand notices were issued under Section 3 of the 1958 Act on or about 29-3-2008, purporting to be signed by a Sub-Divisional Officer 'on behalf of' the Executive Engineer (described as 'Executive Engineer, UPPCL'), claiming that the petitioners were consumers of UPPCL (not DVVNL) and that electrical dues were recoverable as arrears of land revenue.

The petitioners challenged the assessment orders and demand notices on six grounds: (1) the 27-6-2006 notification is ultra vires because DVVNL is not a licensee; (2) DVVNL has not been notified as a Government Electrical Undertaking under the 1958 Act and cannot invoke its recovery procedures; (3) the Executive Engineer of DVVNL is not a 'prescribed authority' under the 1958 Act; (4) the demand notice is invalid as it was signed by a subordinate, not the prescribed authority; (5) no proper notice or opportunity of defence was given regarding the specific allegations; and (6) the procedure under Section 126 read with Code 2005 Clause 6.8 was not followed.

The respondents contended that the 27-6-2006 notification was valid, that UPPCL and its officers (whose notification dated 9-1-2001 under the 1958 Act already existed) were operating through DVVNL which was merely a subsidiary, and that MRI reports and inspection records evidenced unauthorised use justifying provisional assessment.

REASONING OF THE COURT

HEADNOTE

Jurisdiction, subsidiarity, and procedural fairness in electricity theft assessment. A State Government notification designating officers of a Government company as 'assessing officers' under Section 126 is not ultra vires even though the company held no separate license, provided it qualifies as a 'deemed licensee' under the proviso to Section 14. But a Government company with a separate identity and transferred distribution assets cannot be deemed a 'Government Electrical Undertaking' under the 1958 Act without express notification; its parent company's existing notification does not extend to it. Procedurally, before issuing a provisional assessment for unauthorised use under Section 126, the assessing officer must disclose the specific allegations and afford the consumer a fair hearing on whether unauthorised use occurred; an MRI report alone, without disclosure and opportunity, violates natural justice and Clause 6.8 of the

Supply Code. The assessment must follow the prescribed structure: disclosure of allegations → show-cause notice → hearing on liability → final order on whether unauthorised use is established.

The writ petitions are maintainable despite the existence of an alternative remedy of appeal. Although Section 127 of the Electricity Act, 2003 provides an alternative remedy of appeal against assessment orders, the Division Bench held that the issues raised are purely legal and jurisdictional. Drawing on *Popcorn Entertainment v. City Industrial Development Corporation*, the Court identified three exceptions to the rule requiring exhaustion of alternative remedies: where the action of authorities is illegal and without jurisdiction, where principles of natural justice have been violated, and where fundamental rights are infringed. All three exceptions applied: the validity of the notification dated 27-6-2006 is a delegated-legislation question that cannot be decided by the assessing officer or appellate authority under Section 127; the vires of the notification falls within the High Court's jurisdiction under Article 226; and moreover, the matter involves constitutional rights of property and due process. ¶ 9–10

DVVNL qualifies as a 'deemed licensee' under the proviso to Section 14 of the Electricity Act, 2003. The State Government notification dated 27-6-2006 designated Executive Engineers of DVVNL as assessing officers under Section 126. The petitioners challenged this on the ground that DVVNL had neither applied for nor been granted a license under the 1999 Act or the 2003 Act. The Court held that the proviso to Section 14 of the 2003 Act deems certain categories of entities to be licensees: (a) a 'Government company', (b) a 'company referred to in sub-section (2) of Section 131', and (c) companies created pursuant to the Acts specified in the Schedule. The plain language of the proviso treats 'Government company' as a separate, independent category from the others. Under Section 617 of the Companies Act, 1956, a 'Government company' is one where at least 51% of the paid-up share capital is held by the Central or State Government, and includes a subsidiary of a Government company. DVVNL is a subsidiary of UPPCL (which is a Government company), therefore DVVNL itself qualifies as a 'Government company'. By virtue of that status alone, DVVNL is a 'deemed licensee' under Section 14, irrespective of whether it has been licensed under any other statute or the 1999 Act. A deeming provision is intended to enlarge the meaning of a term and must be given full effect unless expressly restricted by the statute; the Court found no such restriction. The object of the 2003 Act includes unbundling of State Electricity Boards and transfer of their functions to Government companies, which object is furthered, not defeated, by deeming Government companies to be licensees. ¶ 27–39

DVVNL cannot invoke the recovery procedures of the 1958 Act without being separately notified as a 'Government Electrical Undertaking' under Section 2(c). Although DVVNL is a Government company and a deemed licensee for purposes of the 2003 Act, the Court held that DVVNL has a separate legal identity and cannot be deemed to be a 'Government Electrical Undertaking' under the 1958 Act merely because its parent company (UPPCL) has been so notified. The 1948 and 1958 Acts predate the modern structure of multiple discoms; the 1958 Act was enacted when electricity supply was either by the State or by UPSEB. The definition of 'Government Electrical Undertaking' is inclusive but refers to "such other electrical undertaking run or controlled by the State Government or the Board as may be notified in this behalf." The language "as may be notified" is not superfluous; it requires express notification. Since DVVNL was created as an independent company with its own assets, liabilities, and personnel transferred to it separately under the Transfer Scheme, 2003, and since UPPCL is no longer the distribution licensee in those areas, DVVNL cannot shelter under UPPCL's 1958 Act notification dated 9-1-2001. The parent company's notification "ipso facto" does not extend to the subsidiary. ¶ 40–48

The Executive Engineer of DVVNL is not a 'prescribed authority' under the 1958 Act without separate notification, and demand notices signed by a subordinate (SDO) lack jurisdiction. Section 2(b) of the 1958 Act defines 'prescribed authority' as "the officer of a Government Electrical Undertaking notified by the State Government in this behalf." Since DVVNL has not been notified as a Government Electrical Undertaking, its officers cannot be prescribed authorities. Furthermore, Rule 3 of the 1958 Rules prescribes Form-A for demand notices, which requires

the notice to be “issued and signed by the prescribed authority.” The statute confers no power on the prescribed authority to authorize subordinates to sign. In the present case, the demand notices were signed by Sub-Divisional Officers purporting to act “on behalf of” the Executive Engineer. Such delegation, unsupported by the statute, renders the notices wholly without jurisdiction. Additionally, after the transfer of distribution assets to DVVNL with effect from 12-8-2003, the petitioners became consumers of DVVNL, not UPPCL. Consequently, UPPCL’s prescribed-authority status is immaterial; it is DVVNL alone that could pursue recovery procedures for its own dues (were it properly notified). ¶ 49–54

Before issuing a provisional assessment under Section 126, the assessing officer must disclose the specific allegations of unauthorised use and afford the consumer an opportunity of hearing. Section 126(1) of the 2003 Act grants power to provisionally assess “if” the assessing officer comes to the conclusion that a person is indulging in unauthorised use of electricity. The Act does not expressly prescribe the procedure for forming that conclusion, nor does it expressly exclude natural justice. However, an allegation of unauthorised use (defined in Explanation (b) as usage by artificial means, unauthorised means, through a tampered meter, or for an unauthorised purpose) is a serious matter capable of constituting an offence under Section 135. No person can be condemned of such a charge without a fair opportunity to be heard and to put his defence before the authority. Principles of natural justice are not excluded by necessary implication; to the contrary, reading Section 126 “constitutionally” requires that before forming the conclusion of unauthorised use, the assessing officer must disclose the specific manner and means by which unauthorised use is alleged and give the consumer an opportunity to explain. The object of the two stages — finding guilt on unauthorised use, then assessing quantum — is distinct; both require opportunity, though the second is expressly provided in Section 126(3). The U.P. Electricity Regulatory Commission’s own Code, 2005, Clause 6.8, reflects this understanding by requiring disclosure of the inspection report, a show-cause notice with 15 working days for reply, and a hearing before the assessing officer forms a final conclusion. ¶ 55–62

The assessment procedure prescribed in Clause 6.8 of the U.P. Electricity Supply Code, 2005 was not followed; the MRI report was not disclosed, and no hearing was afforded. The Court reviewed Clause 6.8(a)–(c) in detail. Para 6.8(a) requires inspection, immediate preparation of an inspection report at the site, and delivery of a copy to the consumer (or posting if refused). Para 6.8(b) requires issuance of a provisional assessment bill with a show-cause notice, giving 15 working days for reply and fixing a date of hearing. Para 6.8(c) requires a hearing, consideration of the consumer’s submissions, and a speaking order as to whether unauthorised use is established. In the present cases, none of these steps were followed. The petitioners received no copy of the MRI report at the time of inspection or with the provisional assessment notice. The notice gave only 7 days (not 15 working days) and did not fix a date of hearing. No hearing was afforded before the final assessment was made. The petitioners were kept entirely unaware of the specific allegations — the notice merely stated that “enforcement squad found excess load/theft of energy/other irregularities” without disclosing details of the alleged irregularities or the technical evidence. The Court examined the MRI report and the technical explanation provided by respondents’ counsel, noting serious gaps: no evidence that the incoming feeder cable was physically cut (which would be necessary to enable the alleged tampering), inconsistencies in the tamper log (varying durations of missing potential), and failure of the inspection team to investigate or explain these anomalies on site. In such cases, technical opinions affecting civil liability and reputation must be supported by cogent material and afforded to the consumer for rebuttal. ¶ 63–78

INTERPRETATION OF THE ELECTRICITY STATUTES

STATUTORY INTERPRETATION: LICENSEE STATUS, GOVERNMENT UNDERTAKING DEFINITION, AND ASSESSMENT PROCEDURE

Section 14 proviso of the Electricity Act, 2003 — ‘Deemed Licensee’ Status of Government Companies

The proviso to Section 14 deems certain entities to be licensees: ‘the Government company or the company referred to in sub-section (2) of section 131 of this Act and the company or companies created in pursuance of the Acts specified in the Schedule, shall be deemed to be a licensee under this Act.’ This provision contains three separate classes. ‘Government company’ (as defined in Section 2(31) by reference to Section 617 of the Companies Act, 1956) is one class, independent from ‘company referred to in Section 131(2)’ or companies under the Schedule Acts. A Government company qualifies as a licensee by virtue of its status alone, not by reference to any other condition or prior licensing. The deeming covers both standalone Government companies and subsidiaries of Government companies (as Section 617 includes subsidiaries within the definition). ¶ 30–37

Section 2(c) of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 — ‘Government Electrical Undertaking’ Definition

Section 2(c) defines ‘Government Electrical Undertaking’ as “any electrical undertaking run or controlled by the State Government or the Board, or such other electrical undertaking run or controlled by the State Government or the Board as may be notified in this behalf by the State Government.” The definition is inclusive, referring to undertakings “as may be notified in this behalf.” This language is not superfluous; it expresses a requirement of express notification. Although a Government company engaged in electricity distribution may appear to fall within the spirit of the definition, the statute has chosen to impose a condition precedent of notification. A Government company created under the Companies Act, even if wholly or majority-owned by the State, does not automatically qualify as a ‘Government Electrical Undertaking’ under the 1958 Act without express notification by the State. Subsidiary companies cannot be deemed to be the same legal entity as their parent for purposes of invoking statutory powers applicable to the parent; they require separate notification. ¶ 40–48

Section 126(1) of the Electricity Act, 2003 — Formation of Conclusion and Procedural Fairness

Section 126(1) states: ‘if on an inspection of any place or premises...the assessing officer comes to the conclusion that such person is indulging in unauthorised use of electricity, he shall provisionally assess...’ The condition precedent is the formation of a conclusion by the assessing officer. Although the Act does not expressly prescribe how that conclusion is to be formed, principles of natural justice (not excluded by express language or necessary implication) require that before condemning a person for a serious charge such as unauthorised use or theft, the person must be given notice of the allegations and an opportunity to respond. The allegation involves potential criminal liability under Section 135 and reputational harm; it is not a merely administrative or technical matter. Before provisional assessment, disclosure of the specific allegations and an opportunity to explain are procedural prerequisites. ¶ 55–61

Clause 6.8 of the U.P. Electricity Supply Code, 2005 — Detailed Procedure for Assessment

Notified under Section 50 of the 2003 Act, Clause 6.8 prescribes a detailed procedure: (a) inspection at the site, with report prepared and delivered to consumer immediately; (b) service of provisional assessment bill and show-cause notice with 15 working days for reply and a fixed date of hearing; (c) a hearing at which the assessing officer considers the consumer’s submissions and passes a speaking order on whether unauthorised use is established. This procedure, understood and implemented by the UPERC and distribution licensees, reflects the correct interpretation of Sections 126 and 135 of the Act, 2003. Non-compliance with these procedural steps renders an assessment invalid, as

it violates Clause 6.8 (which has statutory force under Section 50) and the principles of natural justice embedded in the scheme. ¶ 62–78

RATIO DECIDENDI

Five holdings emerge: (1) A State notification designating officers of a Government company as assessing officers under Section 126 is valid if the company qualifies as a deemed licensee under the proviso to Section 14, even without a separate license. (2) A Government company, though owned by the State or a parent Government company, requires separate notification under Section 2(c) of the 1958 Act to qualify as a ‘Government Electrical Undertaking’ competent to invoke the recovery procedures of that Act; the parent company’s prior notification does not extend to a subsidiary company. (3) A demand notice under Section 3 of the 1958 Act is invalid if signed by a subordinate authority rather than the prescribed authority himself, as the statute prescribes direct signing and confers no power of delegation. (4) Before issuing a provisional assessment for unauthorised use under Section 126, the assessing officer must disclose the specific allegations and afford the consumer a fair hearing; an MRI report or technical conclusion alone, without disclosure and opportunity, violates natural justice. (5) The procedure prescribed in Clause 6.8 of the U.P. Electricity Supply Code, 2005 (disclosure of inspection report, 15 working days notice, fixed hearing date, speaking order) is mandatory; non-compliance renders the assessment void.

ALSO HELD & OBITER

- **Technical opinions in electricity theft cases require robust factual support.** Where an authority relies on technical evidence (such as MRI tamper logs) to support a serious allegation of unauthorised use or theft, the evidence must be cogent and the opportunity to rebut it must be afforded to the consumer. Courts should not accept expert opinions uncritically where they rest on gaps in the evidence (such as failure to explain inconsistencies at the site) or where the physical prerequisites for the alleged tampering (such as a cut in an insulated feeder cable) are not documented or explained. “The non-technical and untrained consumer cannot be thrown at the vagaries of such authorities, otherwise it will wide open victimization of innocent people and will encourage corruption.” (¶75)

DISPOSITION

The writ petitions are partly allowed. The impugned provisional and final assessment notices issued by the Executive Engineer, DVVNL, under Section 126 of the Electricity Act, 2003, as well as the demand notices issued under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, are hereby quashed. The respondents are at liberty to take appropriate steps and pass fresh orders in view of the observations made in the judgment and in accordance with law. The petitioners are entitled to costs quantified at Rs. 2,000/- for each set of writ petition.

SIGNIFICANCE

A comprehensive statement on the limits of delegated authority, the consequences of corporate separation, and the procedural prerequisites for ascertaining serious allegations in electricity regulation. Six themes:

- **A company’s licensee status does not determine its status under different statutes.** DVVNL qualifies as a deemed licensee under Section 14 of the 2003 Act by virtue of being a Government company, yet does not qualify as a ‘Government Electrical Undertaking’ under the 1958 Act without express notification. The same entity can have different capacities under different statutes; regulatory authority does not flow automatically across legislative schemes.

- **A subsidiary company cannot be deemed to share its parent’s statutory status without express language.** Although DVVNL is owned and controlled by UPPCL, and although UPPCL has been notified under the 1958 Act, DVVNL’s separate legal identity and transferred distribution assets mean it cannot be deemed to inherit that notification. The principle that a company is a distinct legal person from its shareholder (even a Government shareholder) applies with equal force to subsidiary companies and their parents.
- **Procedural fairness precedes the assertion of jurisdiction in assessment cases.** An assessing officer may lack power to issue an assessment order if it was not issued in accordance with procedural prerequisites — here, disclosure of allegations and opportunity of hearing. Procedural defect is a jurisdictional defect; it is not merely a breach of the conduct of a validly-issued order, but a failure to acquire jurisdiction in the first place.
- **Natural justice is inbuilt in statutory schemes even where not expressly provided.** Although Section 126(1) does not explicitly require an opportunity of hearing before forming the conclusion of unauthorised use, and Section 135 (on theft penalties) contains no procedure, natural justice operates to supply that requirement. The Supply Code’s detailed procedure (Clause 6.8) reflects the statutory intent, and non-compliance renders the assessment void.
- **Technical evidence in theft cases must be explained, not merely asserted.** A bare MRI report showing tamper events does not prove intentional unauthorised use unless the technical basis is explained to the consumer and he is given an opportunity to contest it. Inconsistencies in the technical evidence (unexplained variations in tamper duration, absence of physical evidence of tampering) must be resolved before a serious allegation is fastened.
- **Delegated signature authority requires express statutory provision.** The rule requiring signature by the prescribed authority (Form-A, 1958 Rules, Rule 3) is not permissive of delegation by mere practice or administrative fiat; a notice signed by a subordinate, even if acting ‘on behalf of’ the prescribed authority, is invalid and lacks jurisdiction.

TABLE OF AUTHORITIES

Authorities discussed in the judgment and their treatment. ‘Applied,’ ‘Distinguished,’ ‘Referred,’ and ‘Cited’ reflect the Court’s characterisation or evident use.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Popcorn Entertainment (P.) Ltd. v. City Industrial Development Corporation</i> 2007 (4) JT (SC) 70 : (2007) AIR SCW 2010 · Supreme Court of India	Identified three exceptions to the requirement to exhaust alternative remedies before approaching the High Court under Article 226: (i) where the action is illegal and without jurisdiction, (ii) where principles of natural justice are violated, and (iii) where fundamental rights are infringed.	The Court relied on this to hold that the writ petitions were maintainable despite Section 127’s appellate remedy. Because the questions involved the validity of a delegated-legislation notification (<i>ultra vires</i>) and jurisdictional/constitutional issues regarding property and due process, all three exceptions applied. (¶9–10)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Rajeev Kumar Jauhari v. State of U.P.</i> 2007 (4) ESC 2253 : 2007 (7) ADJ 110 : (2007) 1 ALJ 620 (DB) · High Court of Judicature at Allahabad (Division Bench)	Established that the fact that the State Government holds 100% share capital in a company does not identify the company with the State Government; a company registered under the Companies Act remains a separate legal entity entitled to act as a company functions, not as a government department.	The Court quoted this judgment to support its conclusion that DVVNL, though a Government company, has a separate legal identity and cannot be treated as merely an extension of UPPCL. It applied the principle to hold that DVVNL requires separate notification under the 1958 Act and cannot inherit UPPCL's status. (¶41)	Applied
<i>Shrikant v. Vasant Rao</i> (2006) 2 SCC 682 : AIR 2006 SC 918 · Supreme Court of India	Held that even where the entire share capital of a company is held by the State Government, the company cannot be identified with the State Government and is entitled to act and proceed in the manner a company functions.	Cited within the Court's quotation of <i>Rajeev Kumar Jauhari</i> to reinforce the principle of corporate separability from the State, even in wholly-Government-owned enterprises. (¶41)	Cited in support
<i>R.C. Cooper v. Union of India</i> (1970) 1 SCC 248 : AIR 1970 SC 564 · Supreme Court of India (Constitution Bench)	Held that a company registered under the Companies Act is a legal person, separate and distinct from its individual members; property of the company is not the property of shareholders; a shareholder has merely a contractual interest measured by share capital and profit-share, not ownership of company assets.	Applied to establish that DVVNL, though a subsidiary of UPPCL (and ultimately State-owned), is a distinct legal entity with its own assets transferred under the Transfer Scheme, 2003, and therefore cannot be deemed to inherit the status or notifications applicable to UPPCL. (¶41–42)	Applied
<i>Heavy Engineering Mazdoor Union v. State of Bihar</i> (1969) 1 SCC 765 : AIR 1970 SC 82 · Supreme Court of India	Reaffirmed the separate legal personality of State-owned companies and their distinction from government departments.	Cited to support the principle that a company created by the State has a legal existence separate from the State. (¶42)	Cited in support
<i>Ahdhra Pradesh State Road Transport Corporation v. Income Tax Officer</i> AIR 1964 SC 1486 · Supreme Court of India	Established the separate identity and legal status of State-owned corporations distinct from the State itself.	Cited as supporting authority for the general principle that companies and corporations remain distinct legal entities even when owned by the State. (¶42)	Cited in support
<i>Western Coalfields Ltd. v. Special Area Development Authority</i> (1982) 1 SCC 125 : AIR 1982 SC 697 · Supreme Court of India	Reaffirmed that companies, including Government-owned companies, have separate legal status from their shareholders and from the State.	Cited as an authority establishing the separability of Government companies from the State. (¶42)	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Electronics Corporation of India Ltd. v. Secretary, Revenue Department, Government of A.P.</i> (1999) 4 SCC 458 : AIR 1999 SC 1734 · Supreme Court of India (Constitution Bench)	Established that ‘a clear distinction must be drawn between a company and its shareholder, even though that shareholder may be only one and that the Central or a State Government,’ and that ‘a company registered under the Companies Act is a distinct legal entity other than the legal entity or entities that hold its shares.’	Applied to confirm that DVVNL, though wholly/majority-owned by UPPCL (a Government company) is nonetheless a separate legal entity that cannot automatically inherit the statutory status of its parent. This principle applies equally to Government companies and to private companies. (¶42)	Applied
<i>Maa Vind Vasini Industries v. Purvanchal Vidyut Vitran Nigam Ltd., D.L.W. Bhikharipur, Varanasi</i> 2008 (1) ADJ 75 : (2008) 2 ALJ 456 (DB) · High Court of Judicature at Allahabad (Division Bench)	Held that companies with Government shareholding can never be treated as departments of the Government and have separate legal existence for all purposes; they must function in accordance with the Companies Act and their Articles of Association, autonomously and without influence from third parties except as required by statute. Officers of one company cannot issue binding orders to other companies (such as different discoms) without statutory authority.	Applied to reinforce that although DVVNL is a Government company and separate from UPPCL, it is also a separate and independent distribution company with its own assets transferred under the Transfer Scheme, 2003. The judgment of another Division Bench was applied to support the conclusion that DVVNL requires its own notification under the 1958 Act and cannot be deemed to act under UPPCL’s authority. (¶43)	Applied

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.